

signals a breakout. For the lowest risk of a failed trade, wait for the breakout before trading the stock.

Support and resistance. If you consider the triangle as the momentary intersection of two trendlines, you can guess where support and resistance will be. It will be along the two trendlines, extended into the future.

[Figure 64.6](#) shows an example of this behavior on the weekly time scale. Notice the generally down-sloping volume trend from the triangle's start to the week before the breakout.



[Figure 64.6](#) Ascending triangle on the weekly time scale. The price rise generally follows the up-sloping support line of the triangle. The numbers count the minor high and low touches of the trendline.

Volume spikes upward on the breakout and then generally declines as price rounds over and approaches 1994. Price starts climbing again, essentially hugging the trendline started by the ascending triangle. The upward trend continues for several years following the triangle-initiated support line. Although the match between the sloping trendline and the slope of the later price action is not exact, the support is clear.